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General Knowledge

Indian Polity

STUDY NOTES

Budget in Parliament

BUDGET IN PARLIAMENT

Introduction:

- The **Union Budget** referred to as the **Annual Financial Statement** under **Article 112** of the Indian Constitution, is a comprehensive statement of the **estimated receipts** and **expenditures** of the Government of India for a financial year.
- The financial year in India begins on **April 1st** and ends on **March 31st** of the following year.
- The budget reflects the **economic strategy** and **policy priorities** of the government and plays a crucial role in shaping India's economic future.
- The budget is formulated annually by both the **Union Government** and the **State Governments**.

Components of Union Budget:

- The **Union Budget** has the following components:
    1. **Budget Estimates**: Estimated receipts and expenditures for the upcoming fiscal year.
    2. **Revised Estimates**: Receipts and expenditures for the current fiscal year.
    3. **Provisional Actuals**: Receipts and expenditures for the previous fiscal year.

Constitutional Provisions Related to Union Budget:

1. **Article 112**: Requires the **President** to present the Annual Financial Statement before both **Houses of Parliament**.
2. **Article 113**: No demand for a grant shall be made except on the recommendation of the President.
3. **Article 114**: No money shall be withdrawn from the **Consolidated Fund of India** without parliamentary approval.
4. **Article 265**: No tax shall be levied or collected except by authority of law.
5. **Article 117**: Specifies the introduction and procedures related to **Money Bills**, which include taxation measures.

Stages in the Enactment of Budget:

The budget goes through the following **six stages** in Parliament:

1. **Presentation of Budget:**
    a. Presented by the **Finance Minister** in the **Lok Sabha** on **February 1st**.
    b. The budget is accompanied by the **Economic Survey**, which assesses the state of the economy.
    c. The **budget speech** outlines the government's financial and policy priorities for the coming year.
2. **General Discussion:**
    a. The budget is discussed in both **Lok Sabha** and **Rajya Sabha**.
    b. This stage lasts about **three to four days** and involves a general debate on the overall budget.
    c. No **cut motions** or **voting** takes place at this stage.
3. **Scrutiny by Departmental Committees:**
    a. The budget is examined by **24 Departmental Standing Committees**.
    b. These committees discuss the **Demands for Grants** of various ministries and submit reports to both Houses.
4. **Voting on Demands for Grants:**
    a. The **Lok Sabha** votes on the **Demands for Grants**, which are presented **ministry-wise**.
    b. The **Rajya Sabha** has no power to vote but can discuss the demands.

c. Only the **voteable part** of the budget is put to vote, as expenditures **charged** on the **Consolidated Fund of India** are not subject to voting.

5. **The passing of Appropriation Bill:**

   a. This bill allows the government to withdraw money from the **Consolidated Fund of India**.

   b. The bill is passed after the **Demands for Grants** are voted on, and it authorizes the expenditure for the financial year.

6. **The passing of Finance Bill:**

   a. The **Finance Bill** gives effect to the government's taxation proposals and becomes the **Finance Act** after being passed by both Houses and receiving the **President's assent**.

   b. Unlike the Appropriation Bill, amendments related to **taxation** can be made in the Finance Bill.

Types of Cut Motions:

- **Cut Motions** are used by members of the **Lok Sabha** to reduce or object to the demands for grants:
  1. **Policy Cut Motion**: Represents disapproval of the policy underlying the demand. Reduces the amount to **Re 1**.
  2. **Economy Cut Motion**: Suggests reductions in specific expenditures to promote efficiency.
  3. **Token Cut Motion**: Addresses specific grievances by reducing the demand by **₹100**.
- **Guillotine:**
  - On the last day of discussions, all remaining demands for grants are voted upon without further debate. This process is called the **guillotine**.

Other Grants:

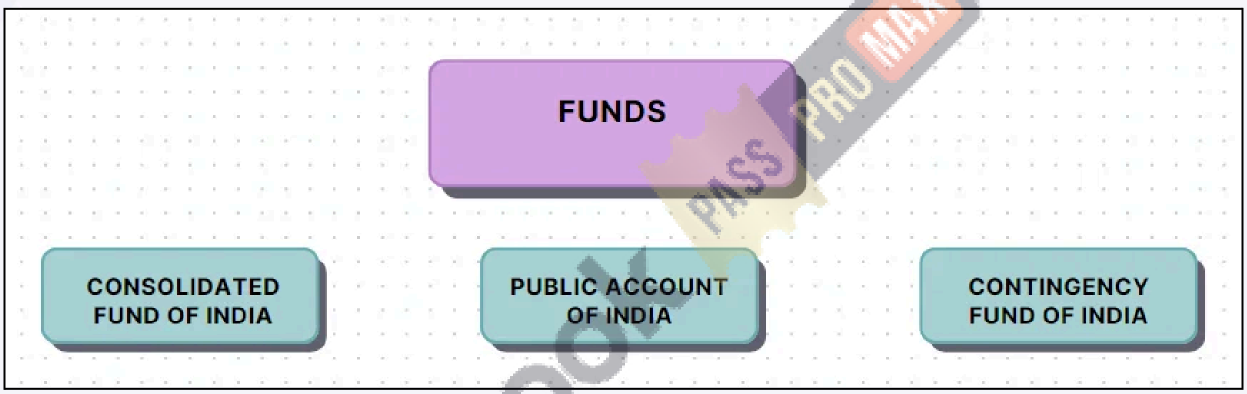
- **Supplementary Grant**: For additional funds required for services when the initial grant is insufficient.
- **Additional Grant**: For unforeseen expenditures on new services not contemplated in the budget.
- **Excess Grant**: For expenditures that exceed the original grants during a financial year.
- **Vote of Credit**: Used for unspecified emergencies; acts as a **blank cheque** for the government.

- **Exceptional Grant**: For special, non-recurring purposes.
- **Token Grant**: Granted when funds can be reallocated without needing new funds.

Vote on Account:

- A temporary measure allowing the government to withdraw funds from the **Consolidated Fund of India** until the full budget is passed.
- Generally passed for **two months** for about **one-sixth** of the total budget, but may be extended in an election year.

Funds in the Budget:



- **Consolidated Fund of India**:
  - All revenues, loans, and repayments go into this fund.
  - No money can be withdrawn without parliamentary approval.
- **Public Account of India**:
  - Deals with transactions like provident funds and small savings.
  - Operated without parliamentary appropriation.
- **Contingency Fund of India**:
  - Used for unforeseen emergencies, operated at the discretion of the **President**.

Regular Budget vs Interim Budget:

- **Regular Budget**: Comprehensive financial statement presented annually, detailing revenues and expenditures for the full fiscal year.
- **Interim Budget**: Presented during election years or when the government is unable to present a full budget. It provides a temporary financial framework for part of the fiscal year.

Merger of Railway Budget:

- Until **2017**, the **Railway Budget** was presented separately. However, it was merged into the **General Budget** in 2017 to simplify the process.

Significance of Budget in Parliament:

- The budget is crucial for determining **revenue collection** (through taxation) and **expenditure planning**.
- It ensures **financial accountability** and provides a roadmap for achieving the **government's economic objectives**.
- The budget is a tool for **economic planning**, reflecting the government's long-term strategy for growth and development.